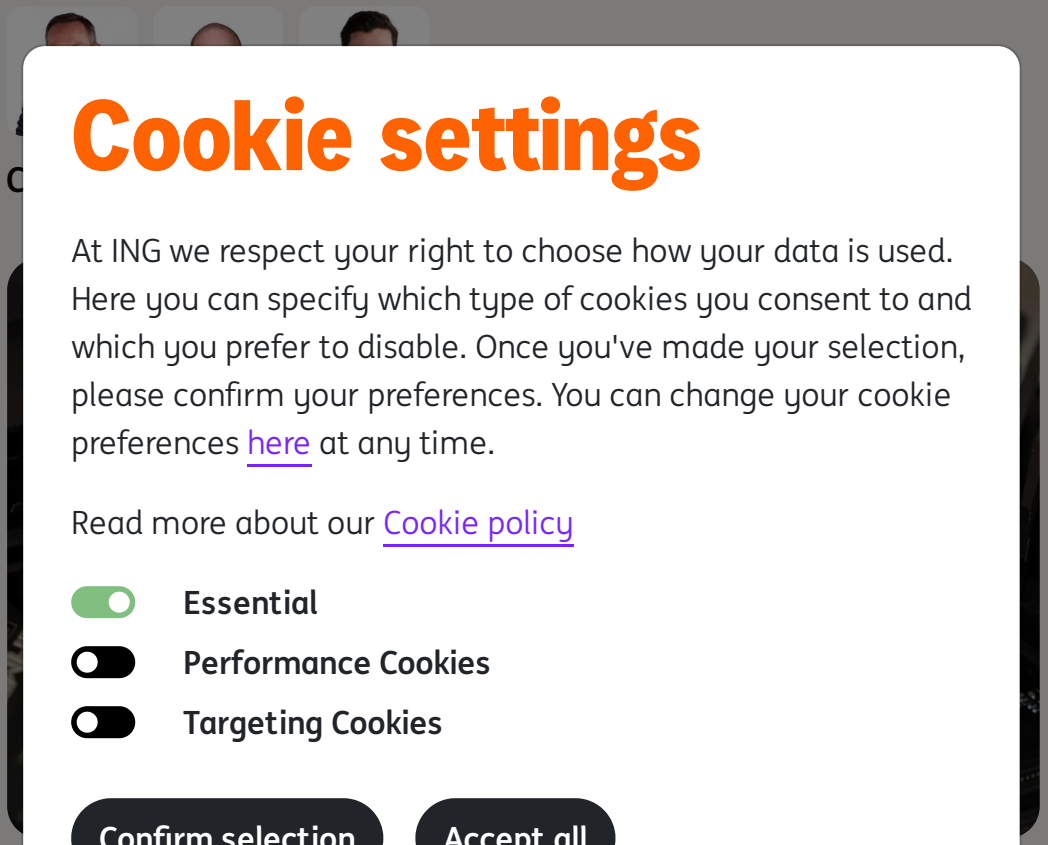
Financial markets have calmed a little after Coreweave stock bounced on Thursday. But the debate between intensifying price pressures needing tighter monetary policy and a tech correction requiring a softer policy outlook continues. Expect more consolidation in FX markets today and more interest in local stories, such as Indonesia's equity travails



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USD: What does the flatter yield curve mean?

The sell-off on Coreweave assets saw a modest reversal yesterday after Nvidia's CEO, Jensen Huang, said that Coreweave's financial strength was improving and its cost of capital was declining. Perhaps those comments should not be surprising from a major shareholder in Coreweave; let's see how long this bounce in Coreweave assets lasts. The big takeaway this week has been the recovery of the long-end of the US Treasury market, even as

inflation data continues to come in hot. Here it seems that investors are starting to find value in long-dated Treasuries and are viewing those as a middling hedge against a correction in the AI trade. Were the tech sell-off to gain momentum, that Treasury buying would move to the shorter end of the curve.

While fears of an AI correction may be growing, inflation data continues to come in hot. Yesterday it was US September PPI data blowing away consensus. And today, import prices should come in near 8% year-on-year, the highest since summer 2022. Inflation data is keeping short-dated interest rates supported and has delivered a near 20bp flattening in the 2-10 year Treasury curve t

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Today's eurozone data should see September CPI confirmed at 3.8% – well above the European Central Bank's 2% target. Markets are still reeling from the hawkish set of inflation forecasts delivered at the ECB September press conference, a key driver of the near 75bp of further tightening expected from the ECB. Our team looks for just one more hike, however, and developments in French bond markets will have a big say in whether the ECB needs to tighten much more from there.

EUR/USD has received a lift from this week's unease in US AI stocks and may be entering a decent consolidative phase now. This could be worth a move all the way to 1.1340/50. But do not expect EUR/USD to be the big outperformer on a further US equity correction. We think a lower USD/CHF would take the lead there.

Chris Turner

CEE: Wage embers and price sparks

The CEE week ends with mostly second-tier data. Hungary releases August wage figures this morning, one of the central bank's remaining domestic obstacles to achieving stable inflation. We f
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have outperformed the rest of the region over the past two days. We maintain the view that the koruna and zloty yield curves cannot decouple from the global narrative, and that higher energy prices will keep rate hikes priced in for longer. The Hungarian curve will face a test next Monday or Tuesday with the release of the draft budget for next year – an event drawing significant market attention, though expectations may be overly optimistic. FX, on the other hand, remains more or less stable, and we continue to hold our bearish views for the CEE region in general.

Frantisek Taborsky

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IDR: MSCI downgrade warning sinks local assets

In a statement that will have been a difficult read for Indonesian authorities, MSCI said overnight that it was launching a consultation to reclassify MSCI Indonesia indexes from Emerging Market to Standalone Market status. Merely dropping Indonesia to Frontier Markets would not properly recognise the depth of the market problems, says MSCI. These problems are opaque shareholding structures and suspected coordinated trading behaviour, according to MSCI.

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